	Document No.	Section No.
	Effective Date:	Revision No.
	PROCEDURAL MANUAL	
	CONTRACTOR'S BILLING	

OBJECTIVE	To ensure that the payment to the Contractor is based on the Percent of Completion (POC) on-site
SCOPE	This procedure is to properly evaluate the accomplishment of the contractor on-site to secure that VHBC is paying the contractor based on the Percent of Completion (POC) of activity per awarded scope. This is based on a verified actual completion on-site.

Responsibility		Activities	Documents
Contractor	Note 1	Submit **Contractor's Billing** for Request of Payment	*[T-CBILL-001] Work Accomplishment Report* *Progress Photos* *Purchase Order* *[T-CBILL-002] Certificate of Completion* *[T-CBILL-003] Certificate of Acceptance*
Office Engineer	Note 2	Review Billing Requirements Submission	*[T-CBILL-001] Work Accomplishment Report* *Progress Photos* *Purchase Order* *[T-CBILL-002] Certificate of Completion* *[T-CBILL-003] Certificate of Acceptance*
		Complete? NO / YES	
Site Engineer/ Project Engineer	Note 3	Review and Evaluate Quantity on **Work Accomplishment Report**	*[T-CBILL-001] Work Accomplishment Report* *Progress Photos* *Purchase Order* *[T-CBILL-002] Certificate of Completion* *[T-CBILL-003] Certificate of Acceptance*
Quantity Control/ Project Engineer	Note 4	Review and Evaluate Billable Amount on **Work Accomplishment Report**	*[T-CBILL-005] Billing Status Monitoring Report* *[F-BILL-001] Debit Memo* *[T-CBILL-004] Evaluated Work Accomplishment Report* *[T-CBILL-001] Work Accomplishment Report* *Progress Photos* *Purchase Order* *[T-CBILL-002] Certificate of Completion* *[T-CBILL-003] Certificate of Acceptance (BSMR)*
Quantity Control	Note 5	Issuance of **Recommendation for Payment**	*[T-CBILL-006] Recommendation For Payment* *[T-CBILL-005] Billing Status Monitoring Report* *[F-BILL-001] Debit Memo* *[T-CBILL-004] Evaluated Work Accomplishment Report* *[T-CBILL-001] Work Accomplishment Report* *Progress Photos* *Purchase Order* *[T-CBILL-002] Certificate of Completion* *[T-CBILL-003] Certificate of Acceptance*

NOTE 1: [Submission of Contractor's Billing for Request of Payment]

1. The following documents are the type of Contractor's Billing:

Type of Billing	Documents Required
Down Payment	• Purchase Order
One-Time-Billing	• Work Accomplishment Report • Progress Photo • Purchase Order • Certificate of Completion
Progress Billing	• Work Accomplishment Report • Progress Photo • Purchase Order
Final Billing	• Work Accomplishment Report • Progress Photo • Purchase Order • Certificate of Completion
Retention	• Purchase Order • Certificate of Completion • Certificate of Acceptance

Down Payment (DP) – a type of billing that is an amount of money that is paid through a certain percentage of the total contract as an advance payment to the contractor. The Recoupment of down payment must be deducted from Contractor's Progress Billings.

One-Time-Billing (OTB) – a type of billing that is non-recurring payment option of the Contractor. This is usually called as the first and final billing when a single payment is to be made on the completion of the whole activity as final and that's the end of the transaction. This also means that the contractor is 100% accomplished activities on-site.

Note: This is only applicable to 1 month contract duration.

Progress Billing (PB) – a type of billing that is recurring payment option of the Contractor. It allows the contractor to bill VHBC incrementally as the project is in progress based on the agreed payment schedule of the Contractor and VHBC. This applies to monthly billing of the Contractor.

Final Billing (FB) – a type of billing that is define as last billing of the Contractor. The final billing is made on the completion of activity. The accomplishment must be 100% complete.

Retention – is the amount that was held for a certain percentage on the progress billings as per agreed on the contract and to be billed after 60 days of completion or more until there. This is a type of billing where all retained amount from progress billings can be billed as full settlement of the account.

2. **Work Accomplishment Report (WAR)** – is a progressive report of activity that determines the breakdown of the billable activities based on the accomplishment of the Contractor on-site. This includes the Original Contract Awarded (Quantity, Rate and Amount) to the Contractor plus any approved variations as well as the adjusted amount. It is a report to state the percentage of the activity that has been completed on the specific period of duration.

See template of this document: [T-CBILL-001] Work Accomplishment Report

WAR is being prepared by the **Contractor** for submission to seek for the evaluation of the Site Engineer and Quantity Control.

- **Contractor's Company Details** – specify the complete contractor details on the Report including the Company Name, Logo, Location Address and Contact Information
- **Work Package** – the complete awarded contract name description as stated on the Purchase Order
- **PO Reference No**. – indicate the Purchase Order No. for reference of detailed breakdown of scope
- **Project Name** – to identify the specific name of the project
- **Developer** – the name of the Client, VHermosa Bright Corp.
- **Location** – the specific Location Address of the project
- **Description** – the breakdown of scope per activity as indicated on the issued Purchase Order
- **UOM** – Unit of Measurement per activity
- **Original Contract** – the awarded contract to the contractor as indicated on the issued Purchase Order
  - Quantity – based on the awarded quantity
  - Rate – based on the awarded rate
  - Amount – based on awarded amount

    Amount = [Awarded Quantity] x [Awarded Rate]

- **Previous** – the billed amount prior to the current completion of the project

  - Quantity – based on the previous billed quantity prior current quantity
  - Amount – based on the previous billed amount prior current amount

    Amount = [Previous Quantity] x [Awarded Rate]

- % Percentage – based on the percentage of the previous billing from awarded contract

  % = [Previous Amount] / [Awarded Amount] or [Previous Quantity] / [Awarded Quantity] .

- **This Billing** – the billed amount for current completion of the project
  - Quantity – on specific duration of accomplishment
  - Amount – on specific duration of accomplishment

    Amount = [This Billing Quantity] x [Awarded Rate]

  - % Percentage Accomplishment on specific duration of accomplishment

    % = [This Billing Amount] / [Awarded Amount] or [This Billing Quantity] / [Awarded Quantity] .

- **To-Date** – the total billed amount that includes the previous billed amount and current billed amount.
  - Quantity – the total billed quantity from Progress Billing No. 1 up to current Billing

    Quantity = [Previous Quantity] + [This Billing Quantity]

  - Amount – the total billed amount from Progress Billing No. 1 up to current Billing

    Amount = [Previous Amount] + [This Billing Amount]

  - % Percentage – the total billed percentage from Progress Billing No. 1 up to current Billing

    % = [% Previous] + [% This Billing]

3. **Progress Photo** – a compilation of photos of the accomplished activities on-site
4. **Purchase Order (PO)** – is a legal document form that client used to communicate with Contractors regarding on Work Orders. This specifies the items, quantities, unit rates and terms of payment for a purchase from the Contractor. It is a legally binding contract between the Contractor and the Client. Purchase Order must be signed by the following:

   a. Prepared by Purchasing
   b. Approved by Project Engineer
   c. Noted by DD Manager

5. **Certificate of Completion (COC)** – this is to certify that the Construction of the given Work Order to the Contractor for a specific project has been finished and completed under inspection and supervision of the Client. This must be certified by the Project Engineer. This is an attachment on Final Billing and One-Time-Billing only.

6. **Certificate of Acceptance (COA)** – this is to certify that confirming that the project has been completed by the Contractor with no more rectifications needed. This must be issued by the Project Engineer 60 days after the Certificate of Completion or more. This is an attachment on Retention Billing only.

NOTE 2: [Review Billing Requirements Submission]

1. The **Office Engineer** is the assigned person with checking and reviewing the documents submitted by the Contractor.
2. If the submitted documents are complete, the Office Engineer will receive the Contractor's Billing and forward the WAR to Site Engineer for Review and Evaluation of the Billable Quantities.
3. If the submitted documents are incomplete, the Office Engineer will return all the submitted documents for re-submission of the Contractor.

<u>Billing Requirements Checklist</u>

This shows the breakdown of list of requirements that must be present upon submission of Contractor's Billing.

A. **Contractor Requirements –** shall be provided and submitted by the Contractor to Project Team On-site.
   Note: Certificate of Completion and Acceptance is being issued by the Project Engineer once the Work Order is being completed or accepted.

B. **Consultancy Requirements –** shall be provided by the Quantity Control to endorse the Contractor's Billing to Accounting Department

NOTE 3: [Review and Evaluate Quantity on Work Accomplishment Report]

1. The **Site Engineer** shall evaluate the billable quantities from the submitted Work Accomplishment Report to Contractor. He will check the billable quantities of the Contractor based on the actual site accomplishment by:

   a. Visiting and inspecting the site to check the quantities;
   b. Checking if the billable activities are already installed on-site;
   c. Check if the billable activities have met the quality required on-site

   If the Contractor will disagree with the evaluation of the Site Engineer, they must reconcile it with the Site Engineer.

2. Once the Work Accomplishment billable quantity is evaluated by the Site Engineer, it must be signed by the following:

    a. Evaluated by the **Site Engineer** for the "reconciled quantities"
    b. Verified by the **Project Engineer** to verify the "reconciled quantities"

NOTE 4: [Review and Evaluate Billable Amount on Work Accomplishment Report]

3. The following documents are required for the Evaluation of Work Accomplishment

Type of Document	Purpose
Evaluation of Work Accomplishment (E-WAR)	To compute the total amount on "this period", "previous" and "to-date" is equivalent to the reconciled quantities from the submitted Work Accomplishment Report. *See template: [Ref-doc-Evaluated Work Accomplishment Report Template]*

4. The **Quantity Control** shall prepare an Evaluation of Work Accomplishment Report that is aligned from the Reconciled WAR to evaluate if the total billable amount this period is based on the reconciled quantities and contract rate.
5. Once the Work Accomplishment is evaluated, it must be signed by the following:

    a. Evaluated by the **Site Engineer** for the "reconciled quantities" and by the **Quantity Control** for the "amount"
    b. Verified by the **Project Engineer** to verify the "reconciled quantities" and "amount"
    c. Conformed by the **Contractor** to confirmed the "reconciled quantities" and to reconciled the "amount"

NOTE 5: [Issuance of Request for Payment]

1. The following documents are required for the Issuance of Request for Payment:

Type of Document	Purpose
Recommendation for Payment (RFP)	To compute the summary of total billable amount "this billing" less "Down Payment Recoupment", "Retention" and "Other Charges"
Billing Status Monitoring Report (BSMR)	To determine the contract status of the Contractor by providing the details from previous billings that also includes a computation of "Retention" and "Down Payment Recoupment". This will be the breakdown of the total billed amount of the Contractor.

2. The **Quantity Control** must issue a Recommendation for Payment as an endorsement to Accounting Department for Release of Check.
3. **Recommendation for Payment (RFP)** – this document is to support the billable amount of the Contractor. This is a summary of Net Amount Computation wherein it computes about the "This Billing" Amount less DP Recoupment, Retention and other charges.
4. **Billing Status Monitoring Report (BSMR)** – is a document to formally report the contract status of the Contractor.
5. BSMR & RFP is being prepared once the billable accomplishment has been reviewed and verified by the authorized Engineers. This must be signed by the following:
    a. Prepared by the **Quantity Control** for the detailed breakdown of contract status of the Contractor
    b. Reviewed by the **Project Engineer** to review and to be aware of the contract status of the Contractor
    c. Noted by the **DD Manager and DD Director** to be informed and get noted by the contract status of the Contractor